the World Trade Center towers were brought down by the CIA rather than by Al Qaeda. When you are dealing with that kind of mind-set, you can get very badly burned investing just on fundamentals.

I thought that foreign investors were dominant in emerging markets.

The thundering herd of foreign investors that can shift huge amounts of money in and out of emerging markets are dominant around cycle turning points, but over longer periods, the key price moves are influenced by local investors and the rumor of the day. You can have a situation where you go short because there is terrible fundamental news on a company, and then the stock keeps on going up because of some wild, unfounded rumor that the son of the president is going to buy the company out.

Why then don't people invest directly into the index if such a large percentage of managers underperform the index?

There are several reasons why emerging market long-only funds have persisted despite their appalling performance. One key reason is marketing. Look at the Templeton emerging markets funds, for example, managed by Mark Mobius. Contrary to his media image as an emerging markets investment guru, he has in fact massively underperformed the index over the past 20 years. This fact hasn't stopped them raising tens of billions of dollars because he is always in the papers visiting and opining on emerging market companies and governments. The world of investment advisers is heavily influenced by media image so they suck their clients into this stuff.

Why do so many people continue to invest with him if the relative performance has been so bad?

Because they're not looking at relative performance. Emerging markets have gone up a lot over time. So if, for example, emerging markets are up an average of 10 percent per year, and he is up 6 percent per year, they are just looking at the fact that their investment is up.

Besides marketing, what other reasons are there for investors choosing long-only emerging market funds over emerging market indexes?